

Part of the Bitcoin software involves the building of Bitcoin's blockchain, which can be thought of as a digital ledger that keeps track of user balances via debits and credits. In this sense, Bitcoin's blockchain is a database that records the flow of its native currency, bitcoin. What makes this digital ledger special?

Bitcoin's blockchain is a distributed, cryptographic, and immutable database that uses proof-of-work to keep the ecosystem in sync. Technobabble? Sure. But impenetrable technobabble? No.

Distributed

Distributed refers to the way in which computers access and maintain Bitcoin's blockchain. Unlike most databases that rigidly control who can access the information within, any computer in the world can access Bitcoin's blockchain. This feature of Bitcoin's blockchain is integral to bitcoin as a global currency. Since anyone anywhere can tap into Bitcoin's blockchain to see the record of debits and credits between different accounts, it creates a system of global trust. Everything is transparent, so everyone is on a level playing field.

WHAT IS CRYPTOGRAPHY?

Initially a scary word, cryptography is the science of secure communication. It involves taking information and scrambling it in such a way that only the intended recipient can understand and use that information for its intended